Prakash Bhasi, a 54-year-old technician with a packaging company in Mumbai, does not know what to do. Till a couple years back, he had thought the household income of Rs 22 lakh a year would be more than enough to meet the expenses of his three-member family. Yes, he had to pay Rs 45,000 as EMI for the 1BHK apartment he had bought in Navi Mumbai six years ago, and he also sent his elderly parents in Coimbatore Rs 10,000 every month towards their living expenses. But never did he think he would have to dip into his savings. Suddenly, however, Bhasi is beginning to feel the pinch. His expenses have gone up 30 per cent in recent months. "If I go to the local market with Rs 500 in hand, I come back with hardly anything," he rues. Vegetable prices, in particular, have shot up. He goes for the cheapest consumer goods, even if it means buying unbranded stuff. Bhasi has also had to forgo his ambition of buying a new car, intending instead to buy a used one, at half the cost.

Bhasi is one of the 570 million Indians who make up India's middle class. New Delhi-based think-tank People Research on India's Consumer Economy (PRICE) categorises them as those households that had an annual income between Rs 5 lakh and Rs 30 lakh if you consider 2020-2021 prices, or between Rs 6 lakh and 36 lakh if you take current prices. And they are reeling under a triple whammy of high inflation, particularly of food, high taxation and stagnating incomes. "It has now become about subsistence,"

TIGHTENING THE PURSE STRINGS

The Indian middle class is reeling under high prices of goods on the one hand and near-stagnant wages on the other, and feeling the heat on their household budgets

AUTO

HITTING A SPEEDBUMP

Both the sales and market share of hatchbacks, representing the affordable segment, and lower-end compact sedans have declined

Sales by body style — Q1 FY25 | Q2 FY25; ▲▼ Change



SUV
546,756
587,764
▲7.5%



HATCHBACK
258,217
248,244
▼-3.9%

MPV
▲9.7%
139,150
152,579





SEDAN
91,754
79,543
▼-13.3%



OTHERS*
71
65
▼-8.5%

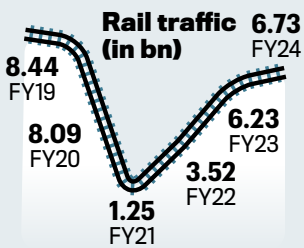
GRAND TOTAL ▲3.1%
1,035,948
1,068,195

** Include coupe & convertible; source: JATO Dynamics*

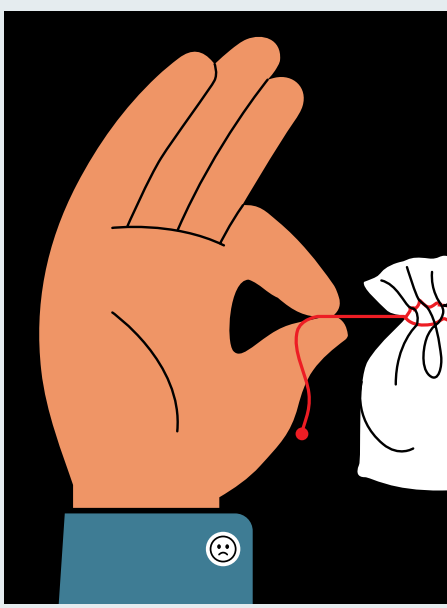
TRAVEL

STOPPED IN ITS TRACKS

Passenger traffic in railways, the prime mode of travel for the lower middle class, has been unable to return to even pre-Covid levels



Source: PIB/Statista



Graphic by TANMOY CHAKRABORTY